Introduction to Management MGNT110

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Managing Individuals

Lecture 2

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Learning Objectives

- Understand psychology in Organisational Behaviour
- Perception and performance
- Values and behaviour
- Personality theories
- Positive psychology
- PERMA

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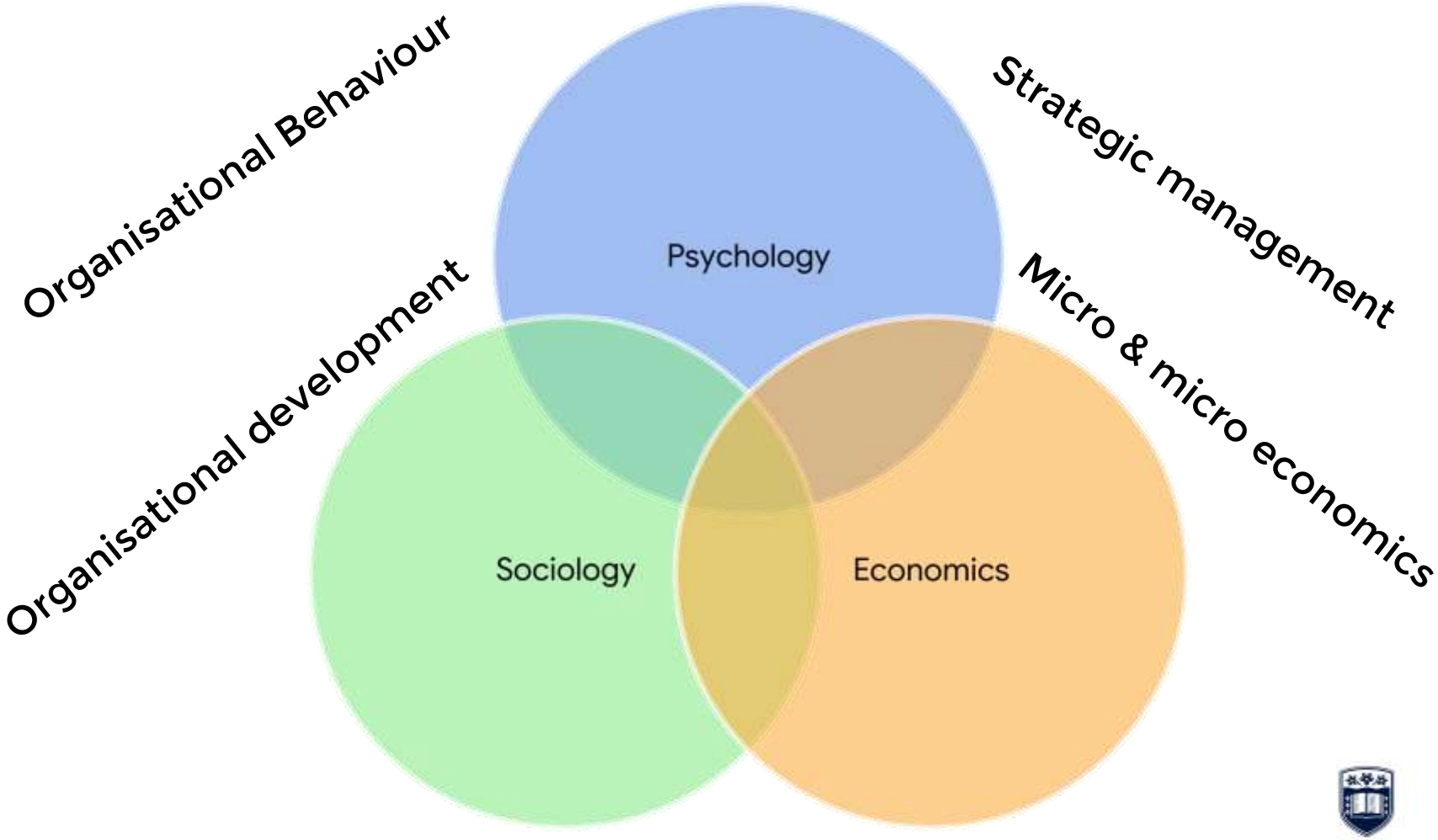
What disciplines does management theory draw on?



Molloy, JC, Ployhart, RE and Patrick M. Wright, PM, 2011 'The myth of "the" micro-macro divide: Bridging system-level and disciplinary divides."' *Journal of Management* Vol. 37, no. 2 pp. 581-609.

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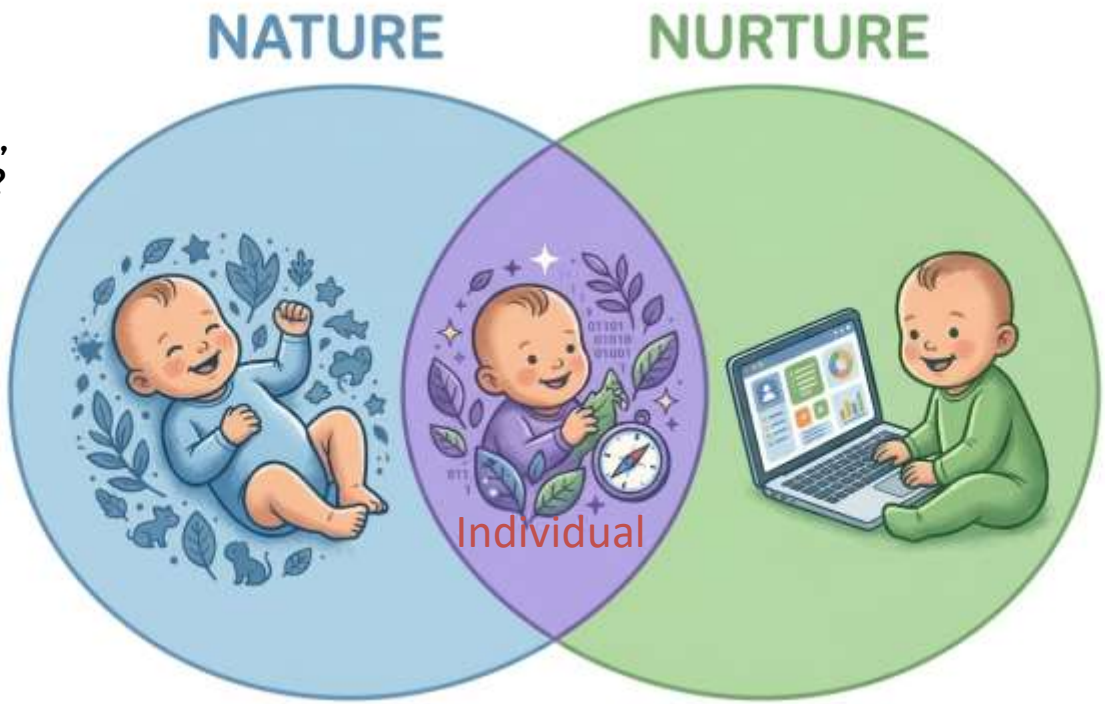
Nature vs. Nurture

Is behaviour genetic or learned?

Is human personality, cognition, and behaviour genetic, pre-programmed?



Are human personality, cognition, and behaviour learned, socialized?

Managers must consider both personality **AND** environment

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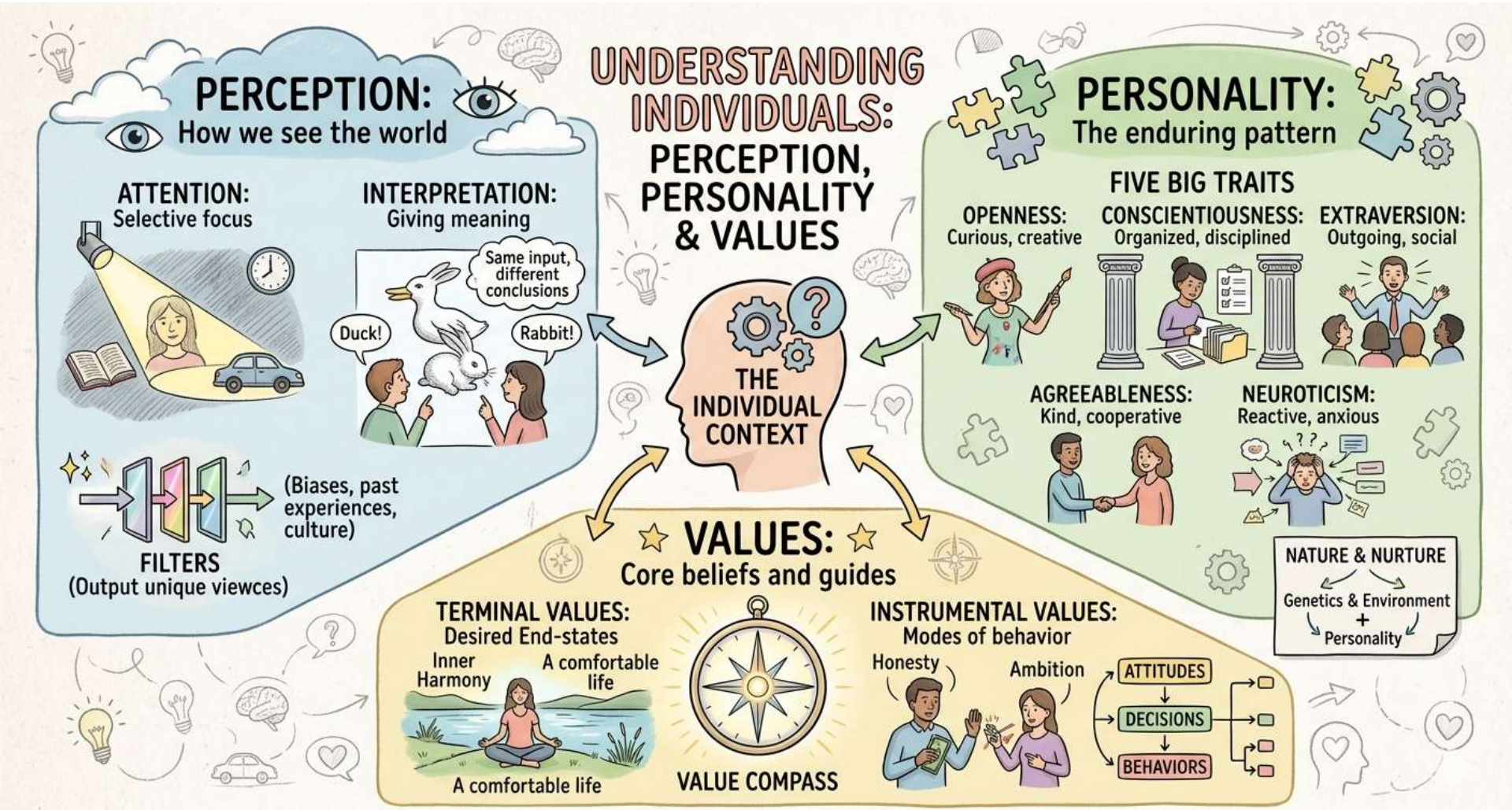
Where to start with understanding individuals in organisations



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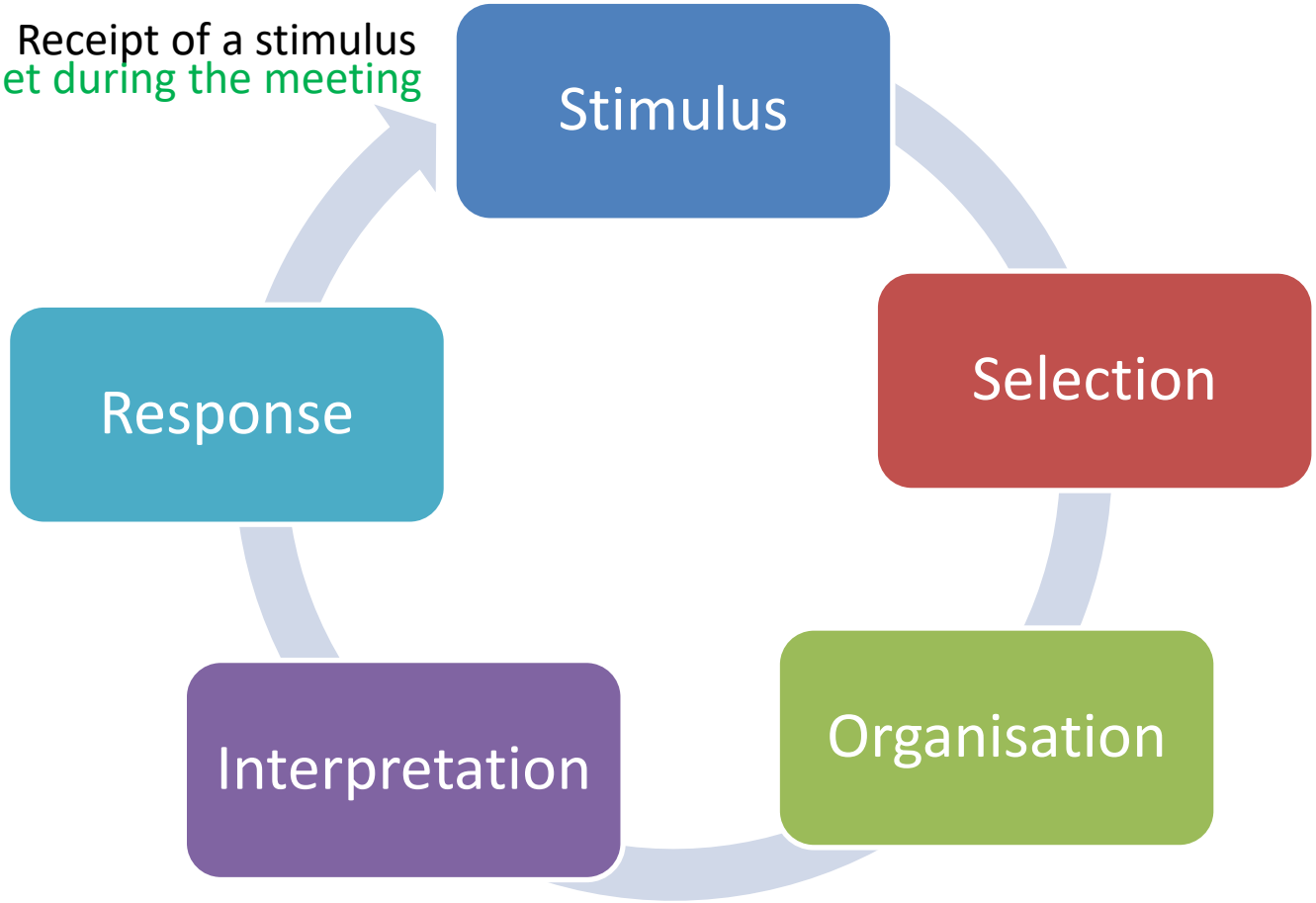
The Perceptual Process

Receipt of a stimulus
Alex is quiet during the meeting



After Martin and Fellenz (2010, p. 115)

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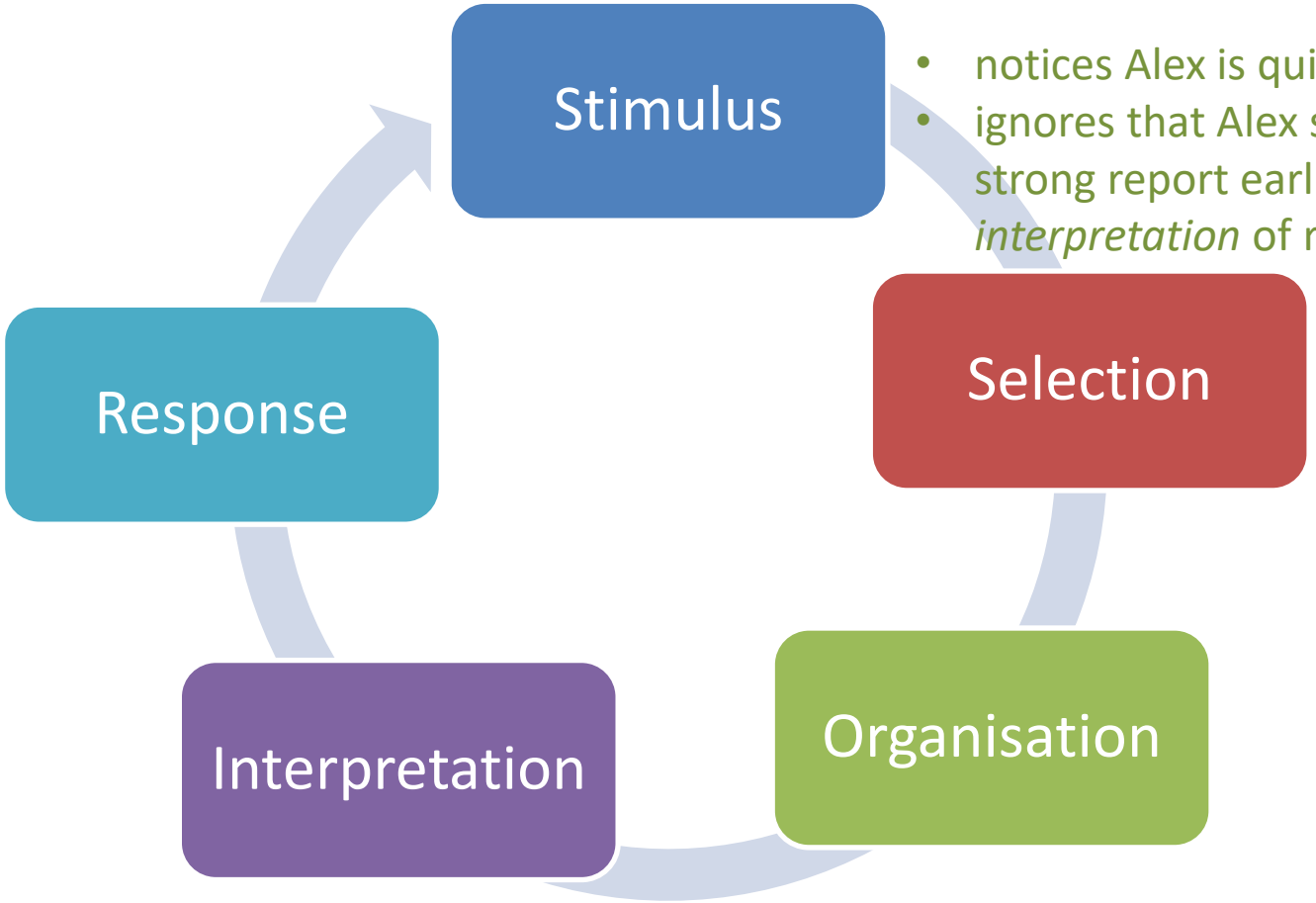
The Perceptual Process



Manager focuses on certain things

- notices Alex is quiet
- ignores that Alex submitted a strong report earlier to their *interpretation* of reality.

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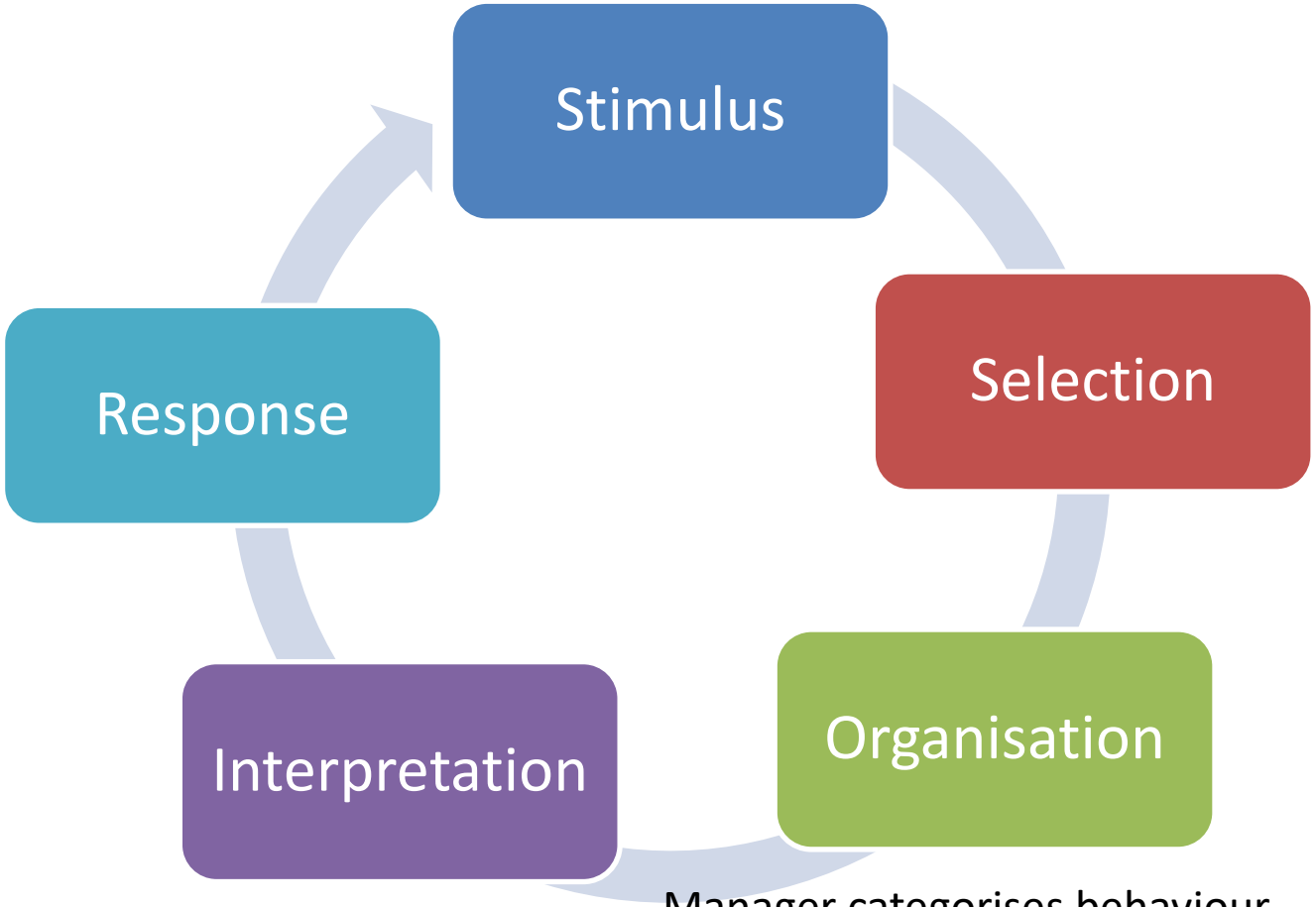
The Perceptual Process



Manager categorises behaviour

- "Quiet employees = disengaged"
- "Active speakers = high performers"

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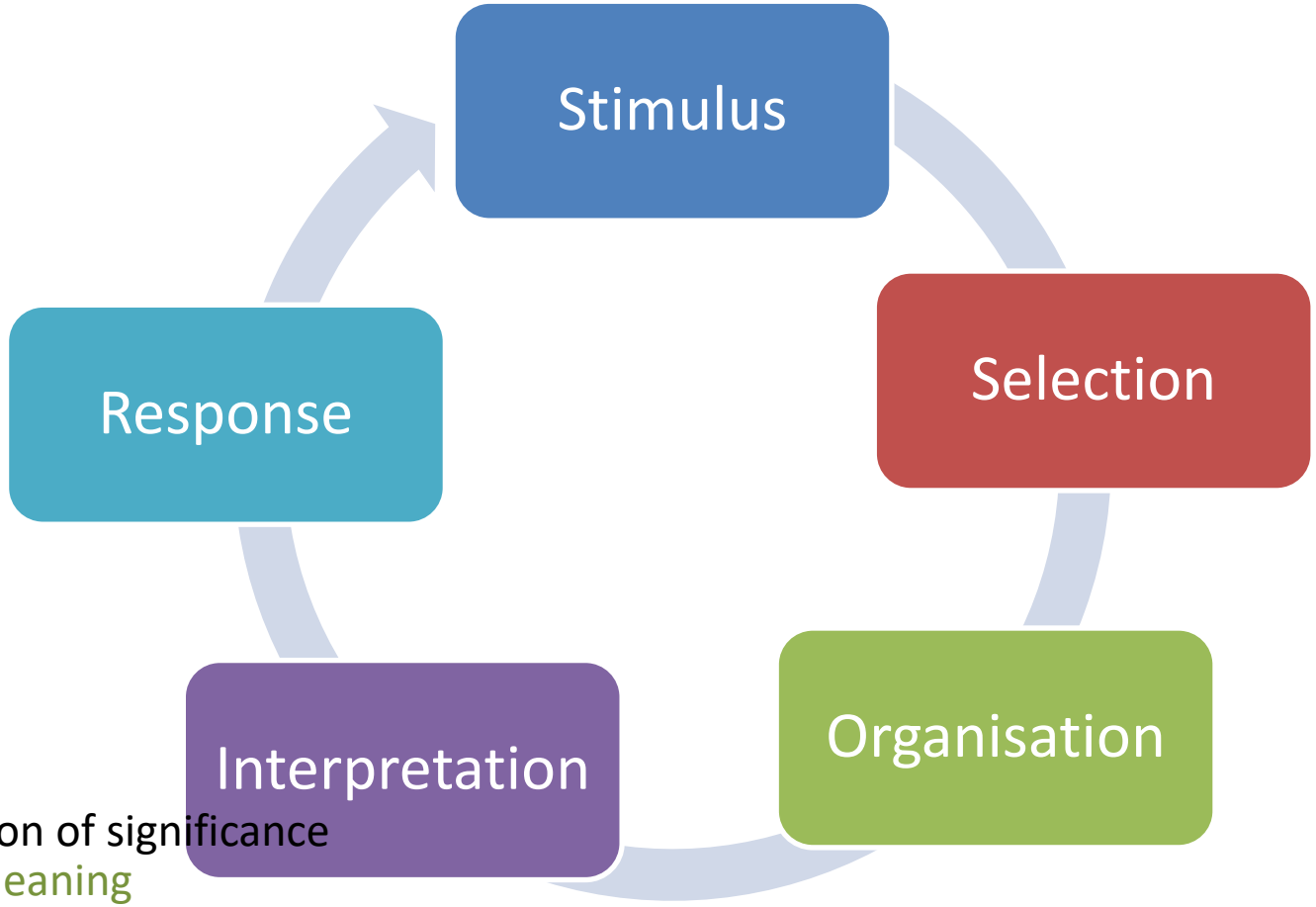
The Perceptual Process



Interpretation of significance

Assign meaning

- "Alex is not motivated"
- "Alex is not leadership material"

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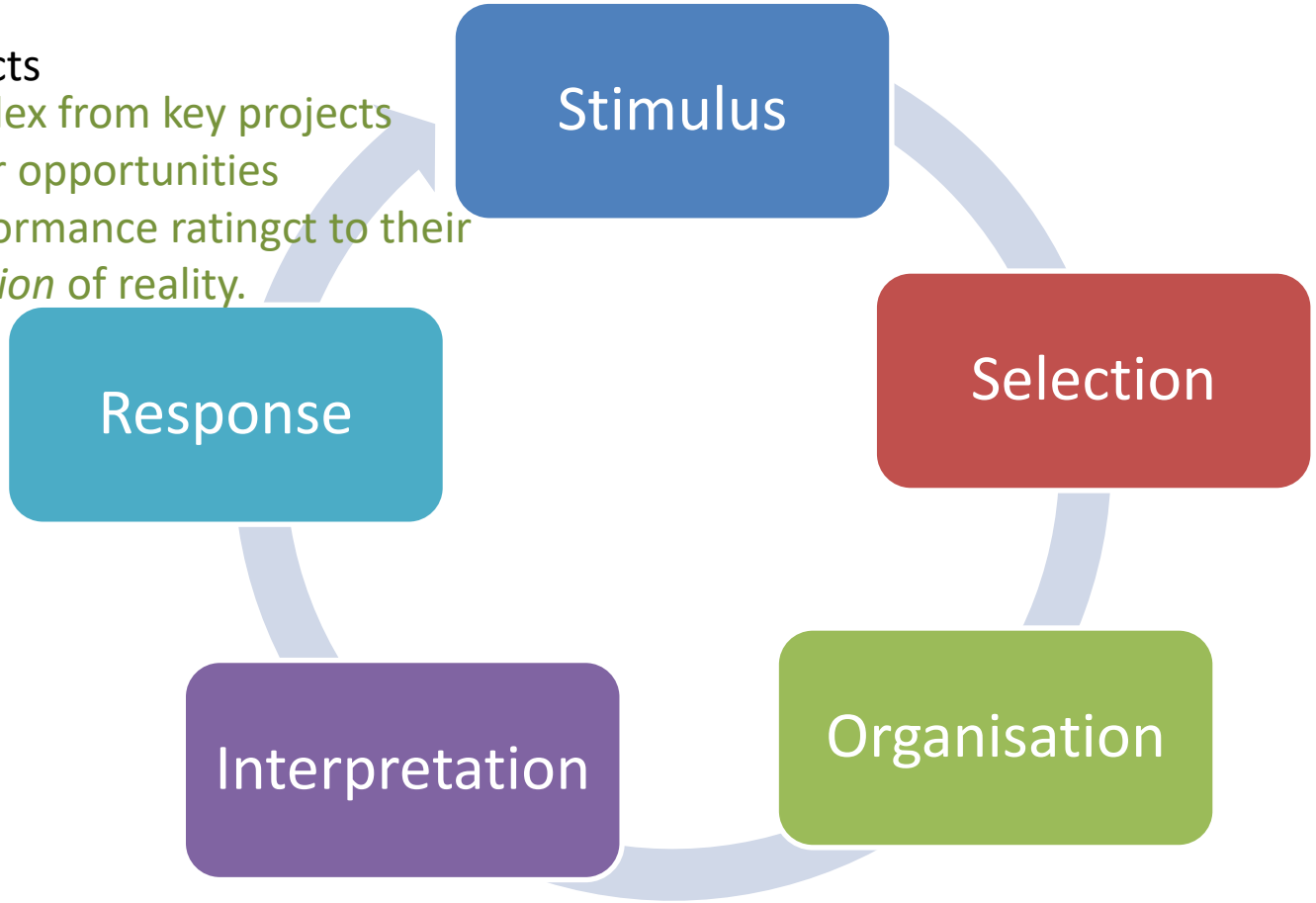
The Perceptual Process

Manager acts

- excludes Alex from key projects
- gives fewer opportunities
- lower performance ratingct to their *interpretation* of reality.



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Perception: Schemas @ work

- Schemas are sets of cognitive constructs developed through social interactions that organize thoughts, feelings, and attention

Person Schema

"Confident speakers = competent employees"

Role Schema

"Good employees should speak up in meetings"

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Perception: Schemas @ work

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"Confident speakers = competent employees"

"Good employees should speak up in meetings"

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Common errors in perception

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Common errors in perception

"Quiet employee = low performer"

Manager gives fewer chances → Alex performs worse → confirms belief

If Alex spoke well once → assume always good

If Alex was late once → assume unreliable

Manager thinks:
"Alex is lazy" Instead of:
"Alex is new and still learning"

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Real case example

- Google search “Jeffrey Koh Interview”
- What do you think?
- How to manage both sides?

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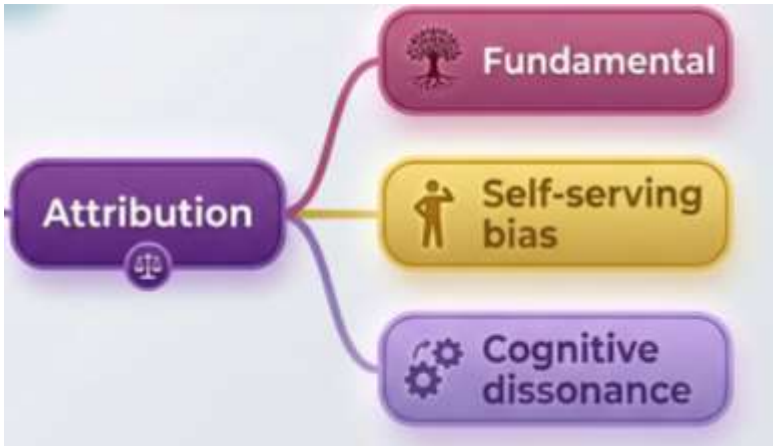

Blame personality, ignore situation

“He is lazy” (instead of “he has 3 part-time jobs”)

Take credit for success, blame others for failure

“I failed because marker was unfair”

Discomfort from conflicting beliefs

“I value health” but eat junk food → justify behaviour

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System 1 vs System 2 Thinking (Kahneman, 2011)

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System 1 vs System 2 Thinking

System 1 **FAST Thinking**	System 2 **SLOW Thinking**
Your brain's automatic mode. It works very quickly, with little effort, and usually without conscious control. • makes snap judgments • uses intuition • recognises patterns quickly • reacts immediately • relies on mental shortcuts	Slower, more effortful mode of thinking. It requires attention, analysis, and reasoning. • examines evidence carefully • compares alternatives • questions first impressions • solves complex problems • makes more deliberate decisions

Note: Why System 2 is not always used: Because it takes effort. People are often busy, tired, stressed, or under pressure, so they default to System 1.

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Values

- A set of beliefs and goals that serve as guiding principles in one's life
- Trans-situational values are consistent and stable across situations
  - Core values don't change easily
  - e,g. if you value honesty, you apply it at work, school, relationships
- Values have a personal component and a social component, these are not always aligned
  - personal component (what YOU want)
  - social component (what society expects)

Would you choose a high-paying job with long hours, or a lower-paying job with work-life balance?

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Personality

- Stable patterns of behaviour and internal states of mind that explain how a person tends to behave.

- Personality = how you typically think, feel, and behave over time

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Break Time

Personality Theories

Personality Theories

Trait Theory
(McCrae and Costa 1987; 1997)

Humanist Theory
(Rogers 1961)

Socio-cognitive theory
(Bandura 1986)

The Big Five Model:

1. **Openness: creative vs conventional**
2. **Conscientiousness: organised vs careless**
3. **Extraversion: outgoing vs quiet**
4. **Agreeableness: cooperative vs competitive**
5. **Neuroticism: emotionally unstable vs stable**

Self-actualisation:

- **personal growth**
- **fulfilment**
- **meaning in life and work**

Good organisations (Humanist approach):

- **provide training and development**
- **encourage growth**
- **give meaningful tasks**
- **support employee well-being**

Poor organisations:

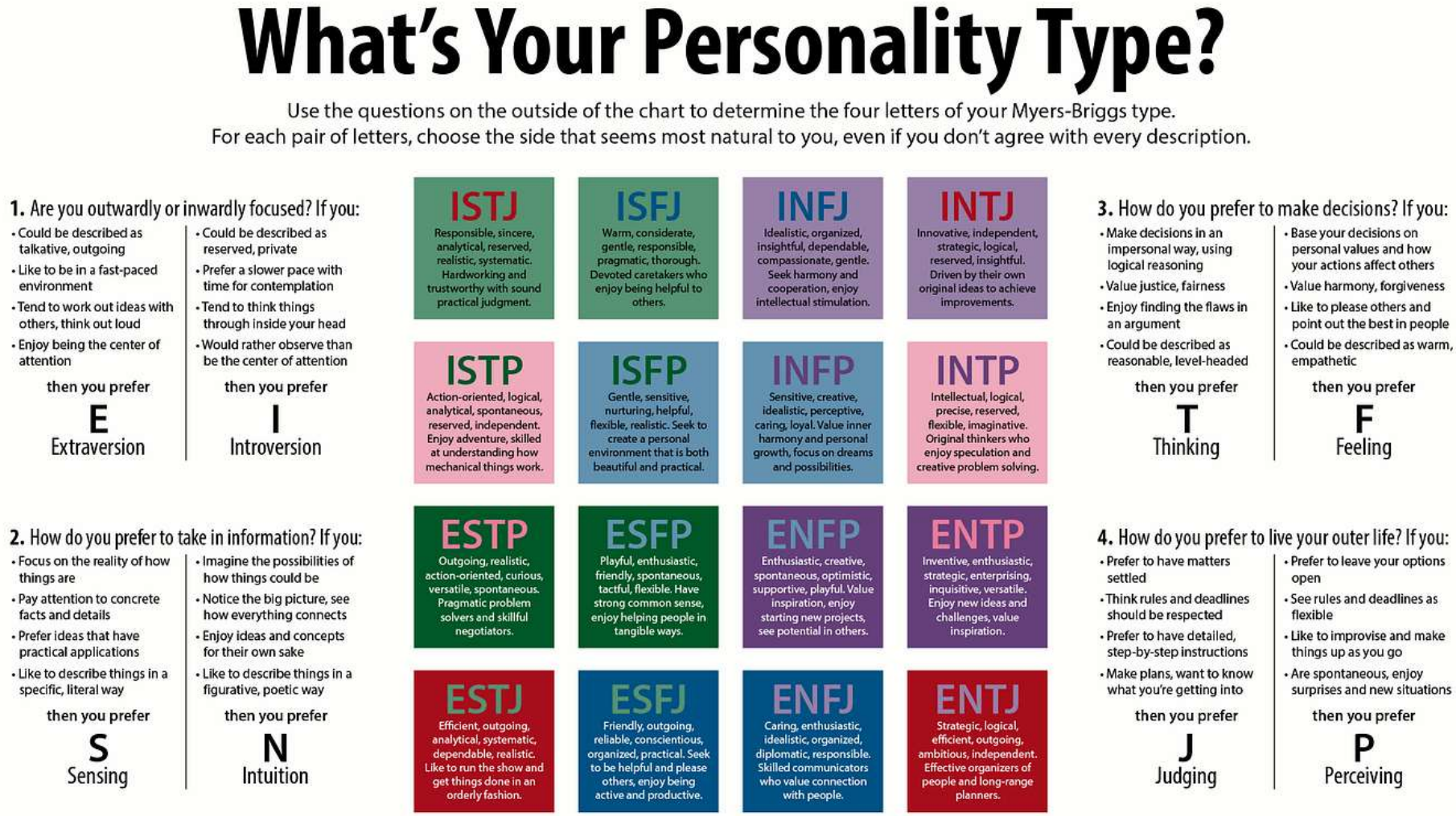
- **focus only on output**
- **ignore employee development**
- **Result: burnout /disengagement /high turnover**

Behaviour is shaped by the interaction between personal factors, behaviour, and the environment (a loop):

- **Environment influences behaviour**
- **Behaviour influences environment**
- **Personal beliefs influence both**

Myers-Briggs Type Indicator (MBTI)

- a personality framework that categorizes people into 16 distinct types based on four key preferences.
- MBTI-type models are popular, but they are less scientifically reliable than the Big Five



- MBTI-type models are popular because they are easy to understand
- BUT, MBTI is LESS scientifically reliable
  - personality exists on a **spectrum**
    - MBTI either or; you are either introvert OR extrovert
    - someone can be <u>moderately introverted</u>, not fully one side
  - May get different results, if you take MBTI multiple times
  - MBTI cannot reliably predict: job performance, leadership effectiveness & workplace behaviour

Positive Psychology

- The study, research, and theorizing of the psychological bases for leading the best life possible through resiliency, psychological strength, positive thinking, feelings, and behaviour

Instead of focusing on what is wrong with people, positive psychology focuses on what is right with people.

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Positive Psychology

Traditional management:	Positive psychology approach:
• fix weaknesses • focus on problems • correct poor performance	• build strengths • enhance well-being • develop potential

In organisations	
Traditional management:	**Positive psychology approach:**
• focuses only on mistakes • gives negative feedback	• encouraging employee strengths • building resilience • creating supportive environments • promoting well-being Result: • higher motivation • better performance

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PERMA Model

(Seligman2011)

- What makes people flourish and experience well-being
- 5 elements of well-being

Positive emotion	• Gratitude
Engagement	• Finding and using strengths
Relationships	• Develop connection
Meaning	• Purposeful work
Accomplishment	• Realistic goals and plans

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PERMA Model

(Seligman2011)

Positive emotion	• Gratitude	recognising employees
Engagement	• Finding and using strengths	challenging but achievable work
Relationships	• Develop connection	good team culture
Meaning	• Purposeful work	meaningful roles
Accomplishment	• Realistic goals and plans	Performance recognition

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Summing up

- Today's lecture is about understanding people in organisations.
- Employees are not motivated by salary alone they are motivated by meaning, relationships, and growth.
- OB represents the cohabitation of psychology, sociology and economics with management.
- Understanding three aspects of psychology: perception, values and personality theories.
- Positive psychology → how to support people
- PERMA → how to build a thriving workplace

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